

ANALYSIS OF INFLATION ON THE PURCHASING POWER AND SAVINGS BEHAVIOUR OF NIGERIAN SALARY EARNERS

A Project Submitted in Partial Fulfilment of the Requirements

for the Certification in Data Analysis

By

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June 2026

CERTIFICATION PAGE

This is to certify that “Analysis of inflation on the purchasing power and savings behaviour of Nigerian salary earners” was carried out by OLATUNJI, HALIMOH TEMIDAYO

This work was completed in partial fulfilment of the requirements for the award of Data Analysis at FEMTECH Information Technology Institute.

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DEDICATION

This project is dedicated to policymakers, Nigerian employers, financial institutions, and salary-earning individuals striving to manage the impact of inflation on their income.

ACKNOWLEDGEMENT

I would to express my sincere gratitude to the Seeding Africa team for this life-changing opportunity, the management of FEMTECH Information Technology, our instructors, and colleagues for their guidance and support throughout this project.

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ABSTRACTS

Inflation has emerged as one of the most severe macroeconomic challenges confronting Nigeria in recent years, with its effects falling most heavily on salary earners whose fixed monthly incomes have failed to keep pace with the rapidly rising cost of living. This study analyses the effect of inflation on the purchasing power and savings behaviour of salary earners in Nigeria, with the specific objectives of assessing purchasing power decline, identifying the most severely affected expenditure categories, examining savings capacity reduction, determining demographic differences in inflation impact, and evaluating financial coping strategies adopted by salary earners.

A descriptive and analytical survey research design was adopted, and primary data were collected from 501 respondents through a structured questionnaire administered via Google Forms. Data was analysed using Microsoft Excel, Power BI, SQL and Python. A Pearson Correlation analysis between salary adequacy and savings behaviour produced $r = 0.6454$ and $p\text{-value} = 2.27 \times 10^{-60}$, confirming a moderate positive and extremely statistically significant relationship at 95% confidence level.

The findings reveal that 49.7% of respondents reported a significant decline in purchasing power, with 70.86% spending more than 70% of their entire monthly salary on essential needs alone. Food and Groceries emerged as the most severely impacted expenditure category at an average severity score of 3.8 out of 5, followed by Transportation and Fuel at 3.4 and Healthcare at 3.1. The savings crisis is deeply alarming, 57.08% have either completely stopped saving or significantly reduced their savings, while 39.32% have completely depleted their savings, and only 20.16% are genuinely financially stable. Below ₦50,000 earners are most devastated, with 54.24% struggling significantly and 69.49% having completely stopped saving. A clear income-based coping strategy gradient emerged; the poorest earners predominantly borrow money (49.15%), while the most financially stable earners join cooperative savings groups (47.83%). Males are identified as the most affected gender, and cutting back on non-essential spending is the most widely used strategy overall at 23.35%.

The study recommends urgent government wage review policies tied to the Consumer Price Index, targeted food price stabilisation measures, employer-level cost-of-living allowances, emergency

savings products offered by financial institutions, income diversification, expanded adoption of cooperative savings groups, social protection expansion, and workplace financial literacy programmes. The study concludes that inflation has created a real, widespread and deepening financial crisis for Nigerian salary earners that demands simultaneous action from all stakeholders.

Keywords: Inflation, Purchasing Power, Savings Behaviour, Salary Earners, Nigeria, Coping Strategies, Financial Resilience, Pearson Correlation

CHAPTER ONE

1.1 Introduction

Nigeria is currently experiencing one of its most severe economic crises in decades, and at the heart of this crisis is a relentless and devastating surge in inflation that is quietly but systematically destroying the financial lives of millions of working Nigerians. For salary earners: the civil servants, teachers, nurses, bank employees, factory workers, and private sector staff who depend on a fixed monthly income to survive, inflation has become the single most destructive force affecting their daily financial reality (Okonkwo and Adeyemi, 2024).

Unlike traders or business owners who can adjust their prices upward when the cost of goods rises, salary earners are locked into fixed pay structures that change slowly and infrequently. Their salaries remain largely the same on paper, while everything they need to buy food, rent, transportation, school fees, and medications become more expensive every single month. The result is a progressive and largely invisible collapse of real purchasing power. A salary earner who earned ₦100,000 per month in 2020 and still earns the same amount today is not earning the same amount in real terms (National Bureau of Statistics, 2022). Inflation has effectively cut the value of that salary by more than half, meaning they can buy far fewer goods and services today with the same amount of money than they could just a few years ago (Nwobike and Okafor, 2024).

This reduction of purchasing power has far-reaching consequences that go beyond the monthly struggle to make ends meet. It is silently destroying the savings culture of Nigerian salary earners. People who once saved a meaningful portion of their income every month are now saving nothing or worse, depleting whatever savings they had accumulated just to survive (Ezuem and Nguevaga, 2023). Long-term financial goals that once seemed achievable, such as owning a home, funding a child's university education, building a retirement nest egg, or starting a business, are becoming increasingly out of reach for the average Nigerian salary earner (Adamu and Waziri, 2024).

What makes this crisis particularly concerning is that it is not uniform. The pain of inflation does not fall equally on all salary earners. A junior civil servant earning below ₦80,000 monthly experiences

a fundamentally different and far more devastating financial reality than a senior private sector manager earning above ₦500,000 (Nwachukwu, 2023; Eme and Uche, 2024). Yet very little research exists that specifically measures this difference, quantifies the precise income levels at which salary earners become financially overwhelmed, or evaluates which coping strategies are actually working versus which ones are simply delaying inevitable financial collapse.

This study, therefore, seeks to fill that critical gap. Using primary data collected directly from Nigerian salary earners through a structured questionnaire survey, this research will measure the real impact of inflation on purchasing power across different income levels, sectors, and demographics; identify which expenditure categories are consuming the largest and fastest-growing share of salary income; assess the depth of the savings crisis among Nigerian salary earners; evaluate the coping strategies currently being used and their effectiveness; and deliver a practical, evidence-based set of recommendations that salary earners, employers, financial institutions, and policymakers can act upon immediately to protect the financial wellbeing of Nigeria's working population.

1.2 Definition of Terms

Inflation: The sustained and general rise in the price level of goods and services in an economy over a period of time, which reduces the real value and purchasing power of money.

Purchasing Power: The ability of an individual to buy goods and services with a given amount of money. When inflation rises faster than income, purchasing power falls; meaning the same salary buys fewer goods and services than it did previously. In this study, purchasing power is measured by how much salary earners can still afford their basic needs in relation to three to four years ago.

Salary Earner: An individual who receives a fixed, regular monthly income in exchange for employment services, whether in the public sector, private sector, or non-governmental organisations. In this study, salary earners include civil servants, private company employees, NGO workers, and self-employed individuals on a fixed monthly retainer.

Real Income: A person's nominal salary adjusted for inflation. When inflation rises faster than salary growth, real income falls even if the nominal figure on a pay slip remains unchanged. **Nominal**

Income: The actual monetary figure of a salary before adjusting for inflation; the amount written on a pay slip. Nominal income can remain the same or increase slightly while real income simultaneously falls due to inflation.

Savings Behaviour: The pattern and habit of setting aside a portion of income for future use rather than immediate consumption. In this study, savings behaviour includes whether salary earners save at all, how much they save relative to two to three years ago, and how inflation has changed their ability and motivation to save.

Purchasing Power Reduction: The reduction in the real value of money caused by inflation, which forces individuals to either spend more money to buy the same goods or reduce the quantity and quality of what they purchase. It is the gap between what a salary used to buy and what it can buy today.

Financial Resilience: The capacity of an individual or household to absorb financial shocks such as sustained inflation without permanently collapsing their financial stability. It involves having savings buffers, diversified income sources, budgeting habits, and adaptive financial strategies.

Coping Strategy: Any deliberate financial behaviour adopted by a salary earner to manage the impact of inflation on their income, such as cutting non-essential spending, taking on additional income sources, joining cooperative savings groups, borrowing money, or reducing food and lifestyle quality.

Cost of Living: The total amount of money required to maintain a specific standard of living, covering essential needs such as food, housing, transportation, healthcare, and education. Rising inflation directly increases the cost of living even when salaries remain unchanged.

Expenditure Category: A defined area of household or personal spending such as food and groceries, housing and rent, transportation and fuel, education and school fees, or healthcare and medications.

Debt Accumulation: The process by which an individual takes on increasing levels of borrowed money through loans, credit facilities, or informal borrowing from family and friends to bridge the

gap between their income and their rising cost of living. In this study, debt accumulation is treated as an indicator of severe reduction of purchasing power.

1.3 Problem Statement

Nigerian salary earners are caught in a trap. Their nominal salaries, the figure written on their pay slips, have remained largely stagnant or grown only marginally over the past five years, while the inflation rate has surged to record highs, dramatically reducing the real value of their earnings. A civil servant who earned ₦80,000 per month in 2019 and still earns the same amount today is not earning the same in real terms; they are earning a fraction of what they used to, because the same ₦80,000 now buys far fewer goods and services than it did five years ago.

This purchasing power reduction has devastating consequences. Salary earners are increasingly unable to save and invest, and are unable to maintain the standard of living they once had. Many have depleted their savings entirely to survive monthly. Others have taken on loans and debts to bridge the gap between their income and their cost of living. Long-term financial goals; buying a home, paying for children's university education, planning for retirement -are becoming increasingly unreachable for the average Nigerian salary earner.

The problem this study addresses is the absence of clear, data-driven evidence that specifically measures the inflation-salary gap in Nigeria, quantifies the erosion of purchasing power over time, and analyses the measurable impact this has had on the savings behaviour and financial security of Nigerian salary earners. Without this evidence, policymakers, employers, and financial institutions cannot design effective interventions to protect the financial well-being of this critical segment of Nigeria's workforce.

1.4 Objectives

1.4.1 General Objective

To analyse the impact of inflation on the purchasing power and savings behaviour of Nigerian salary earners and to recommend strategies to protect their financial well-being.

1.4.2 Specific Objectives

1. To assess the current purchasing power of Nigerian salary earners and determine how inflation has affected their ability to meet basic financial needs.
2. To identify the specific expenditure categories most severely impacted by inflation among Nigerian salary earners and determine which categories consume the largest and fastest-growing share of their income.
3. To examine the extent to which inflation has reduced the savings capacity of Nigerian salary earners and altered their long-term financial planning behaviour.
4. To determine whether the impact of inflation on purchasing power and savings differs significantly by income level, gender, and employment sector among Nigerian salary earners.
5. To evaluate the financial coping strategies currently adopted by Nigerian salary earners in response to inflation and recommend the most effective and realistic strategies for protecting purchasing power and rebuilding savings.

CHAPTER 2

2.1 Project Review

2.1.1 Concept of Inflation and Its Effect on Household Income

Inflation is one of the most studied and consequential macroeconomic phenomena in economic theory and practice. It refers to the sustained increase in the general price level of goods and services in an economy, which correspondingly reduces the real value of money over time. For wage and salary earners, inflation operates as an invisible tax reducing the real value of their fixed income without any corresponding visible deduction from their pay slip (Nwosu and Igwe 2022). When prices rise faster than wages, the result is a decline in real income even when nominal income remains unchanged, meaning workers effectively earn less in terms of what their money can actually buy. This distinction between nominal and real income is central to understanding why inflation is particularly damaging for fixed-income earners in developing economies like Nigeria, where wage adjustment mechanisms are slow, infrequent, and rarely keep pace with price level changes (Okafor, Eze and Madu, 2025).

2.1.2 Inflation and Purchasing Power of Salary Earners

The relationship between inflation and the purchasing power of salary earners is direct and well established in economic literature. When the inflation rate exceeds the rate of salary growth, which has been consistently the case in Nigeria over the past several years, the purchasing power of salary earners falls in real terms (Nigerian Economic Summit Group, 2024). This means that the same monthly salary that once comfortably covered a household's essential needs, including food, rent, transportation, and school fees, can no longer do so, forcing salary earners to make increasingly difficult trade-offs between essential expenditure categories (Adegboye, 2022). Research from similar developing economy contexts consistently shows that this purchasing power reduction disproportionately affects lower-income salary earners who spend a larger share of their income on non-discretionary essentials whose prices tend to rise the fastest during inflationary periods, leaving them with virtually no financial buffer when price shocks occur.

2.1.3 Savings Behaviour Under Inflationary Pressure

Savings behaviour is one of the most sensitive indicators of household financial health and one of the first casualties of sustained inflation. When inflation reduces purchasing power, households are forced to redirect an increasing share of their income toward basic living costs, leaving progressively less available for savings. This dynamic creates a dangerous cycle: reduced savings capacity leaves households more financially vulnerable to

Future shocks, which in turn forces them to rely on debt or asset depletion to survive, further weakening their long-term financial position. For Nigerian salary earners who already operate in a low-savings environment characterised by informal financial arrangements and limited access to formal savings products, the inflationary pressure of recent years has effectively made meaningful savings impossible for a large segment of the salaried workforce. The destruction of savings capacity is particularly consequential for long-term financial planning, including retirement preparation, homeownership aspirations, and investment in children's education (Chaudhry, Qamber and Farooq, 2024).

2.1.4 Sectoral and Income-Level Differences in Inflation Impact

The impact of inflation on salary earners is not uniform across income levels or employment sectors. Public sector workers, particularly those on government pay scales that are adjusted only when the federal minimum wage is reviewed, are generally more exposed to purchasing power reduction than private sector counterparts whose employers may offer more frequent and market-responsive salary adjustments (Ibrahim and Okoh, 2021). Similarly, lower-income salary earners experience the effects of inflation more severely than higher-income earners because they allocate a larger proportion of their income to food and other essential goods whose prices are most volatile during inflationary periods (IMF, 2024). This sectoral and income-based differential in inflation impact is critical for designing targeted policy interventions, as a one-size-fits-all approach to addressing the purchasing power crisis will inevitably fail to reach the most severely affected groups.

2.1.5 Financial Coping Strategies and Their Effectiveness

In response to the decline in purchasing power caused by inflation, salary earners adopt a range of financial coping strategies to bridge the gap between their income and their rising cost of living. The most commonly reported strategies include cutting back on non-essential spending, reducing food quality or quantity, taking on additional income-generating activities outside their primary employment, borrowing money from family, friends, or financial institutions, joining informal cooperative savings schemes, and drawing down on existing savings or investments. A quantitative study of Nigerian consumers' perceptions of inflation and its impact conducted between July and August 2024, involving 163 valid respondents, found that perceived inflation and coping strategies jointly explained 58% of the variance in welfare impact, and that while coping strategies provided some relief, their overall efficacy in protecting household welfare remained only partial (Okonkwo and Adeyemi, 2024). While these strategies provide varying degrees of short-term relief, their long-term effectiveness in genuinely protecting purchasing power and maintaining financial resilience is highly variable. A study on fixed-income earners in Nigeria following the removal of the fuel subsidy in the second quarter of 2023 found that prices of goods and services including food and healthcare skyrocketed, forcing fixed-income salary earners, particularly civil servants to adopt desperate financial coping strategies that in many cases compromised their nutritional and healthcare standards (Obi and Chukwu, 2024). Strategies that involve debt accumulation or savings depletion may resolve the immediate cash flow problem while creating larger financial vulnerabilities down the line.

2.1.6 Gap in Literature

While considerable research exists on the macroeconomic dimensions of inflation in Nigeria: its causes, monetary policy implications, and aggregate effects on GDP and consumption, there is a significant and consequential gap in research that examines the micro-level impact of inflation on individual salary earners across different income brackets and employment sectors in Nigeria. Most existing studies rely on national aggregate data that masks the enormous variation in how inflation affects different segments of the salaried workforce. Existing literature on inflation in Nigeria has largely focused on macroeconomic modelling and aggregate household data, with very limited micro-level primary data evidence that captures how inflation is experienced differently across diverse

demographic groups including income levels, employment sectors, and gender categories (Okonkwo and Adeyemi, 2024). Furthermore, no existing study has combined an assessment of purchasing power decline, savings behaviour collapse, and coping strategy effectiveness into a single primary data-driven analysis specifically focused on Nigerian salary earners. This study fills that gap by providing direct, respondent-level evidence on all three dimensions and translating the findings into actionable recommendations for salary earners, employers, financial institutions, and policymakers.

CHAPTER 3

3.1 Methodology

3.1.1 Research Design

This study adopts a descriptive and analytical survey research design. This design is appropriate because the study seeks to measure, describe, and analyse the effect of inflation on the purchasing power and savings behaviour of Nigerian salary earners using primary data collected directly from respondents. The analytical component allows the study to go beyond mere description to examine differences across income levels, employment sectors, and demographic groups, and to evaluate the effectiveness of coping strategies.

3.1.2 Study Area

The study covers Nigeria as a whole, targeting salary earners across all geopolitical zones and employment sectors; public, private, and NGO. This national scope ensures that findings are broadly representative and applicable to the diverse range of salary structures, cost of living conditions, and inflationary experiences across different parts of the country.

3.1.3 Target Population

The target population consists of Nigerian adults aged 18 and above who are currently employed and receiving a fixed monthly salary, whether in the public sector, private sector, non-governmental organisations, or as self-employed individuals on a fixed monthly retainer.

3.1.4 Sample Size and Sampling Technique

A sample size of 501 respondents is targeted for this study. This sample size is sufficient to produce statistically meaningful patterns across the key demographic and income subgroups being analysed. A convenience sampling technique was used, with the questionnaire distributed through Google Forms via WhatsApp, LinkedIn, email, and other social media platforms to reach salary earners across different sectors and geopolitical zones in Nigeria.

3.1.5 Research Instrument

The primary data collection instrument is a structured questionnaire consisting of 15 carefully designed questions divided into five sections:

Section A, Demographic information (4 questions): Gender, age group, employment sector, monthly income bracket, Years of experience.

Section B, Purchasing power and inflation impact (3 questions): Salary adequacy change, expenditure share of income, debt accumulation

Section C, Expenditure categories most affected (5 Likert-scale items): Food, transportation and healthcare

Section D, Savings behaviour and coping strategies (2 questions): Savings habit change, primary coping strategy

Section E, Open-ended solution question (1 question): Respondent's recommended solution

3.1.6 Data Collection Procedure

The questionnaire was administered digitally via Google Forms and distributed through WhatsApp groups, LinkedIn, email networks, and social media platforms over a period of one to two weeks. Respondents were informed of the academic purpose of the study and assured of complete anonymity and confidentiality. A follow-up reminder was sent after the first three days to maximise the response rate.

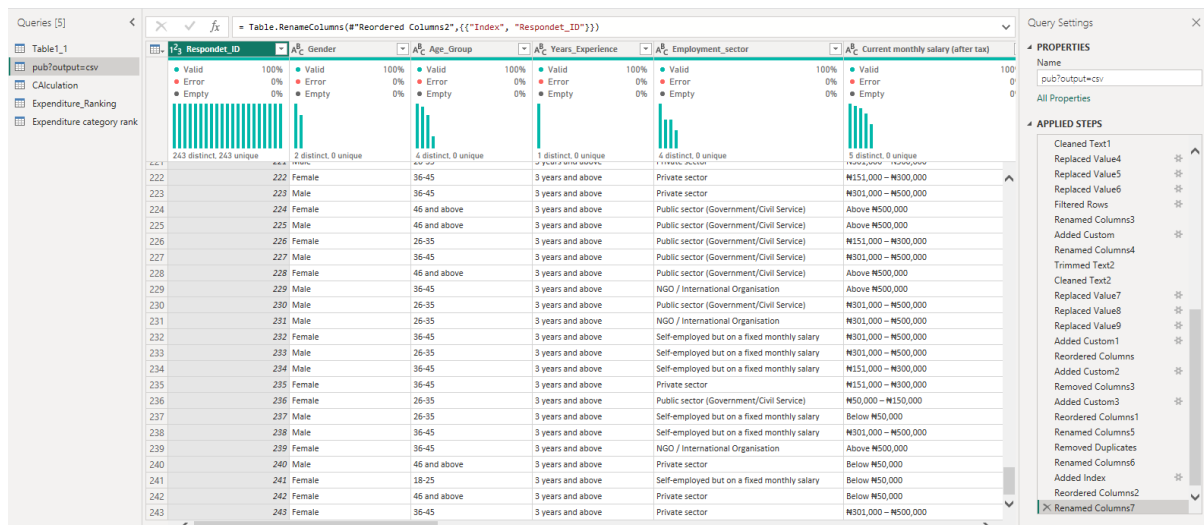
3.1.7 Data Analysis Techniques

Microsoft Excel:

Clean, organise, and code all questionnaire responses into a structured master spreadsheet Recode Likert scale text responses into numeric scores (1-5) using IF formulas Calculate frequency counts and percentages for all demographic and single-choice questions using COUNTIF Calculate average Likert scores for each expenditure category using AVERAGE Rank expenditure categories from most to least severely affected using RANK function Build cross-tabulation tables comparing purchasing

power impact and savings behaviour across income levels, gender, and employment sector using

Pivot Tables Create line charts, bar charts, and pie charts to visualise all key findings



Power BI:

Build a five-page interactive dashboard:

Page 1, Purchasing Power Dashboard: KPI cards showing % of respondents whose purchasing power has declined, average % of salary spent on essentials, debt accumulation rate

Page 2, Expenditure Impact Dashboard: Horizontal ranked bar chart of the five expenditure categories by average severity score, with income level and sector slicers

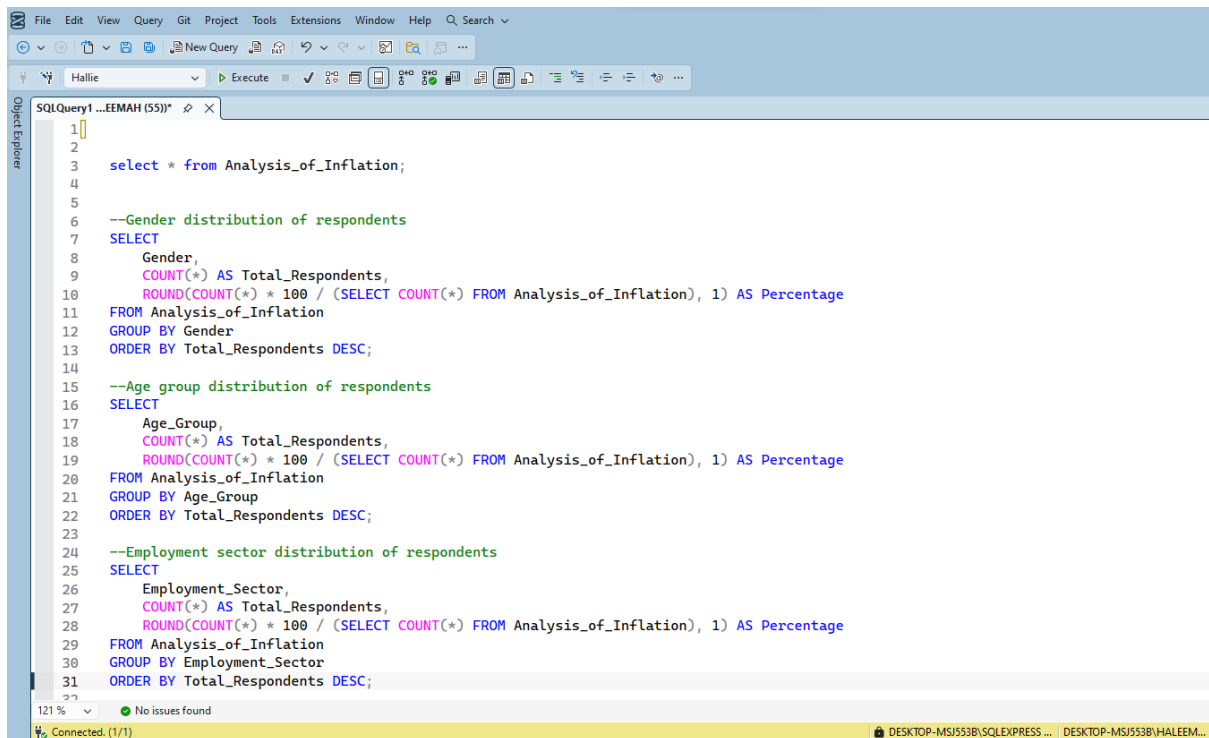
Page 3, Savings Behaviour Dashboard: Stacked bar chart of savings habit change by income group and employment sector

Page 4, Coping Strategy Dashboard: Bar chart of most used coping strategies with effectiveness comparison. Add interactive slicers for Gender, Income Level, Employment Sector, and Age Group to allow filtering of all visuals simultaneously

SQL:

Import cleaned dataset and query frequency distributions for all categorical variables using GROUP BY and COUNT Calculate average Likert scores per expenditure category using AVG and CASE WHEN to convert text to numeric Compare purchasing power impact across income groups and

employment sectors using GROUP BY with multiple columns Identify the most common coping strategy per income group using subqueries and ORDER BY Calculate the percentage of respondents in debt per income bracket using conditional aggregation



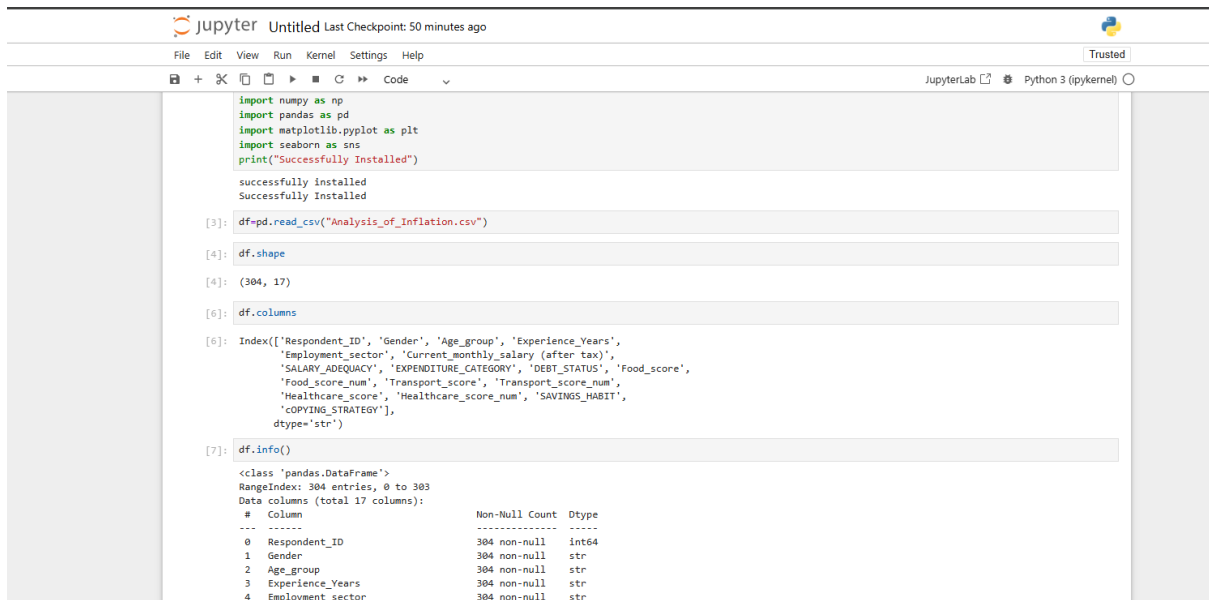
The screenshot shows the SQL Server Enterprise Manager interface. The main window displays a SQL query named 'SQLQuery1...EEMAH (55)'*. The query is as follows:

```
1
2
3 select * from Analysis_of_Inflation;
4
5
6 --Gender distribution of respondents
7 SELECT
8     Gender,
9     COUNT(*) AS Total_Respondents,
10    ROUND(COUNT(*) * 100 / (SELECT COUNT(*) FROM Analysis_of_Inflation), 1) AS Percentage
11 FROM Analysis_of_Inflation
12 GROUP BY Gender
13 ORDER BY Total_Respondents DESC;
14
15 --Age group distribution of respondents
16 SELECT
17     Age_Group,
18     COUNT(*) AS Total_Respondents,
19    ROUND(COUNT(*) * 100 / (SELECT COUNT(*) FROM Analysis_of_Inflation), 1) AS Percentage
20 FROM Analysis_of_Inflation
21 GROUP BY Age_Group
22 ORDER BY Total_Respondents DESC;
23
24 --Employment sector distribution of respondents
25 SELECT
26     Employment_Sector,
27     COUNT(*) AS Total_Respondents,
28    ROUND(COUNT(*) * 100 / (SELECT COUNT(*) FROM Analysis_of_Inflation), 1) AS Percentage
29 FROM Analysis_of_Inflation
30 GROUP BY Employment_Sector
31 ORDER BY Total_Respondents DESC;
```

The status bar at the bottom indicates '121 %' zoom, 'No issues found', and 'Connected. (1/1)'.

PYTHON:

The collected data were analyzed using the Python programming language. Data cleaning, transformation, and analysis were carried out using relevant Python libraries, including Pandas for data manipulation, NumPy for numerical computations, Matplotlib, Scipy and Seaborn for data visualisation. Descriptive statistics, including frequencies, percentages, means, and charts, were used to summarise the data. Outlier detection was performed using boxplots and other exploratory data analysis techniques to identify extreme observations that could affect the reliability of the results. The findings were subsequently presented in tables and graphical formats for easy interpretation.



```
import numpy as np
import pandas as pd
import matplotlib.pyplot as plt
import seaborn as sns
print("Successfully Installed")

successfully installed
Successfully Installed

[3]: df=pd.read_csv("Analysis_of_Inflation.csv")

[4]: df.shape

[4]: (304, 17)

[6]: df.columns

[6]: Index(['Respondent_ID', 'Gender', 'Age_group', 'Experience_Years',
        'Employment_sector', 'Current_monthly_salary (after tax)',
        'SALARY_ADEQUACY', 'EXPENDITURE_CATEGORY', 'DEBT_STATUS', 'Food_score',
        'Food_score_num', 'Transport_score', 'Transport_score_num',
        'Healthcare_score', 'Healthcare_score_num', 'SAVINGS_HABIT',
        'COPYING_STRATEGY'],
        dtype='str')

[7]: df.info()

<class 'pandas.DataFrame'>
RangeIndex: 304 entries, 0 to 303
Data columns (total 17 columns):
#   Column                                Non-Null Count  Dtype
---  -
0   Respondent_ID                        304 non-null   int64
1   Gender                               304 non-null   str
2   Age_group                            304 non-null   str
3   Experience_Years                     304 non-null   str
4   Employment_sector                    304 non-null   str
```

3.1.8 Ethical Considerations

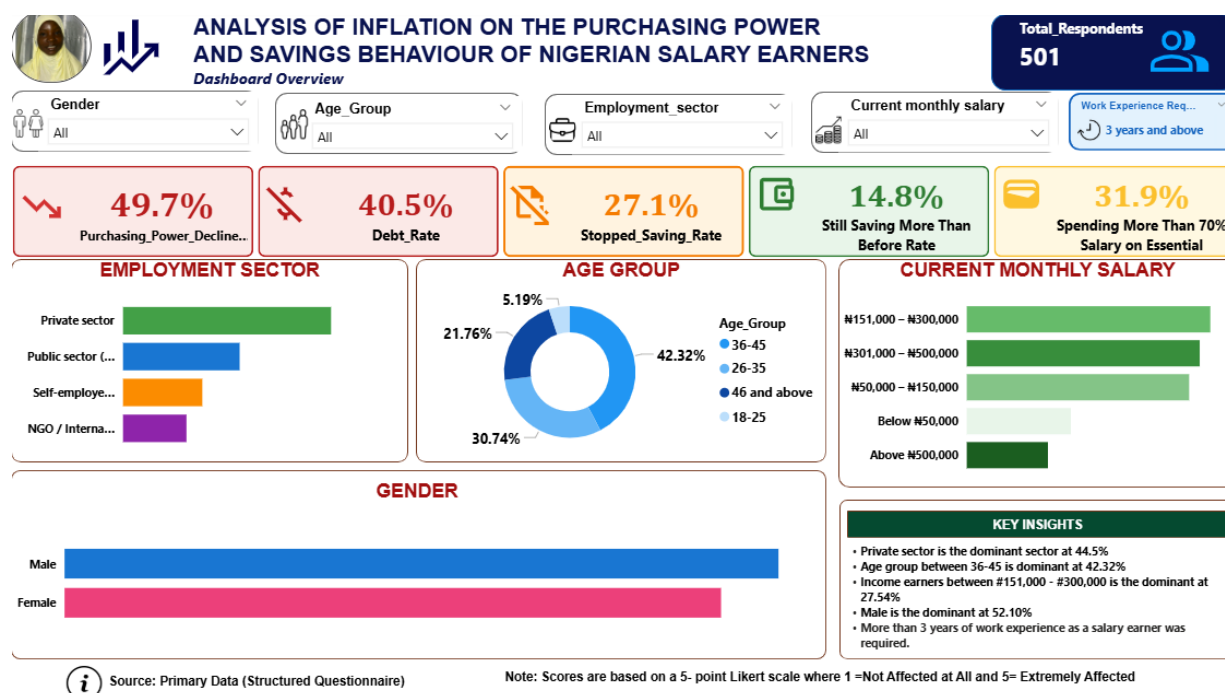
Participation in this study was entirely voluntary. No personal identifying information was collected, and all responses were treated with strict confidentiality and used exclusively for academic purposes. Respondents were clearly informed of this before completing the questionnaire.

CHAPTER FOUR

4.1 Key Findings

FINDING 1 - Respondent Profile and Demographic Overview

The study collected 501 valid responses from Nigerian salary earners with a minimum of three years of salary-earning experience. The private sector is the dominant employment group at 44.51%, followed by the public sector at 24.95%, the self-employed on fixed salaries at 16.97%, and NGOs and International Organisations at 13.57%. The 36-45 age group is the most represented at 42.32%, followed by the 26-35 group at 30.74%, the 46 and above group at 21.76%, and the 18-25 group at 5.19%. The gender split is majority male at 52.10% versus female at 47.90%. The income group between ₦151,000 and ₦300,000 is the dominant income bracket at 27.54%, followed by ₦301,000 to ₦500,000 at 26.35%, and ₦50,000 to ₦150,000 at 25.15%.



FINDING 2 - Objective 1: Purchasing Power Assessment

Headline KPIs: Purchasing Power Decline Rate: 49.7%, Debt Rate: 40.5%, Stopped Saving Rate: 27.1%, Still Saving More Than Before Rate: 14.8%, Spending More Than 70% of Salary on Essentials: 31.9%

Salary Adequacy Distribution:

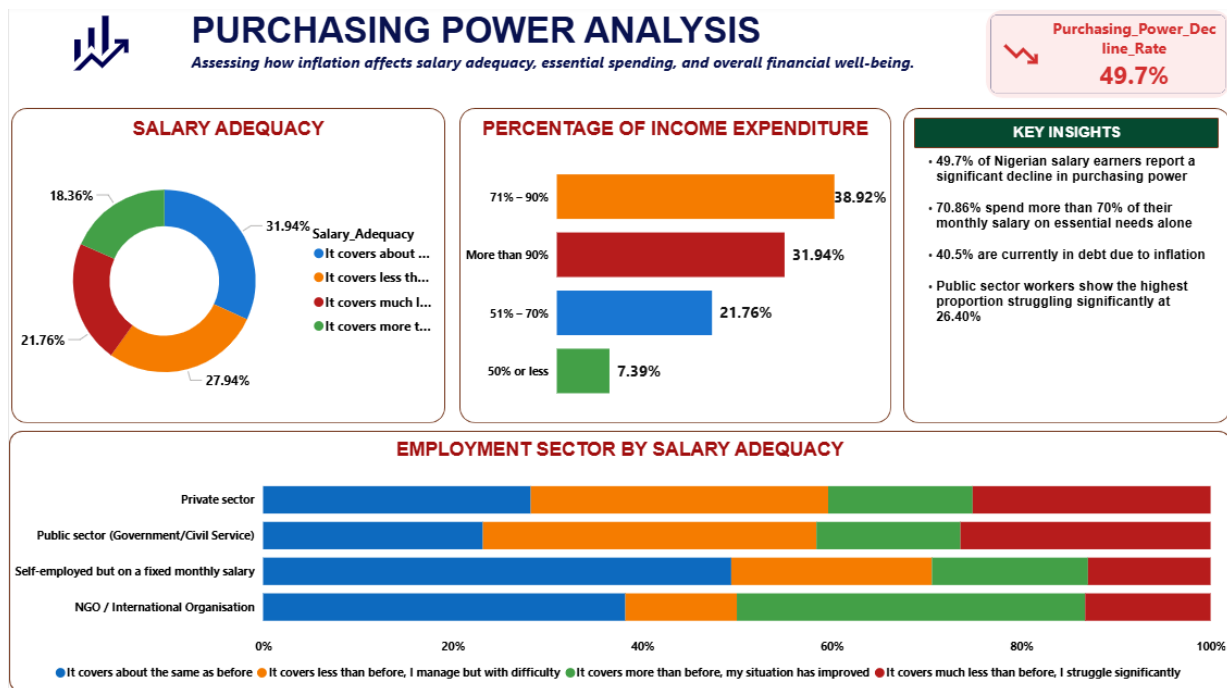
The salary adequacy donut chart reveals that 160 respondents (31.94%) report their salary covers less than before, but they manage with difficulty, the largest single group. 140 respondents (27.94%) report that their salary covers much less, and they struggle significantly. 109 respondents (21.7%) report their situation has improved, and 92 respondents (18.36%) report their salary covers about the same as before. When combined, those struggling significantly and managing with difficulty together represent 59.88% of all respondents, meaning nearly six in every ten Nigerian salary earners surveyed are experiencing a measurable and painful decline in their purchasing power.

Income Expenditure Distribution:

The expenditure analysis reveals a deeply alarming pattern. 38.92% of respondents spend between 71% and 90% of their monthly salary on essential needs alone, while 31.94% spend more than 90% of their salary on essentials. Combined, 70.86% of all respondents are spending more than 70% of their entire salary on basic needs, leaving virtually nothing for savings, investments, or emergency reserves. Only a small proportion spend 50% or less of their income on essentials, confirming that the vast majority of Nigerian salary earners have been financially squeezed to a critical and unsustainable level.

Employment Sector by Salary Adequacy:

Sector analysis reveals meaningful differences. Public sector workers show the highest proportion reporting their salary covers much less at 26.40%, confirming that government employees on fixed pay scales are most exposed to purchasing power decline. Self-employed workers show the highest proportion reporting their salary covers about the same, at 49.41%, suggesting slightly more financial flexibility. NGO and International Organisation workers show the highest proportion reporting improvement at 36.76%, likely reflecting the relatively better salary adjustment mechanisms in



FINDING 3 - Objective 2: Expenditure Categories Most Affected by Inflation

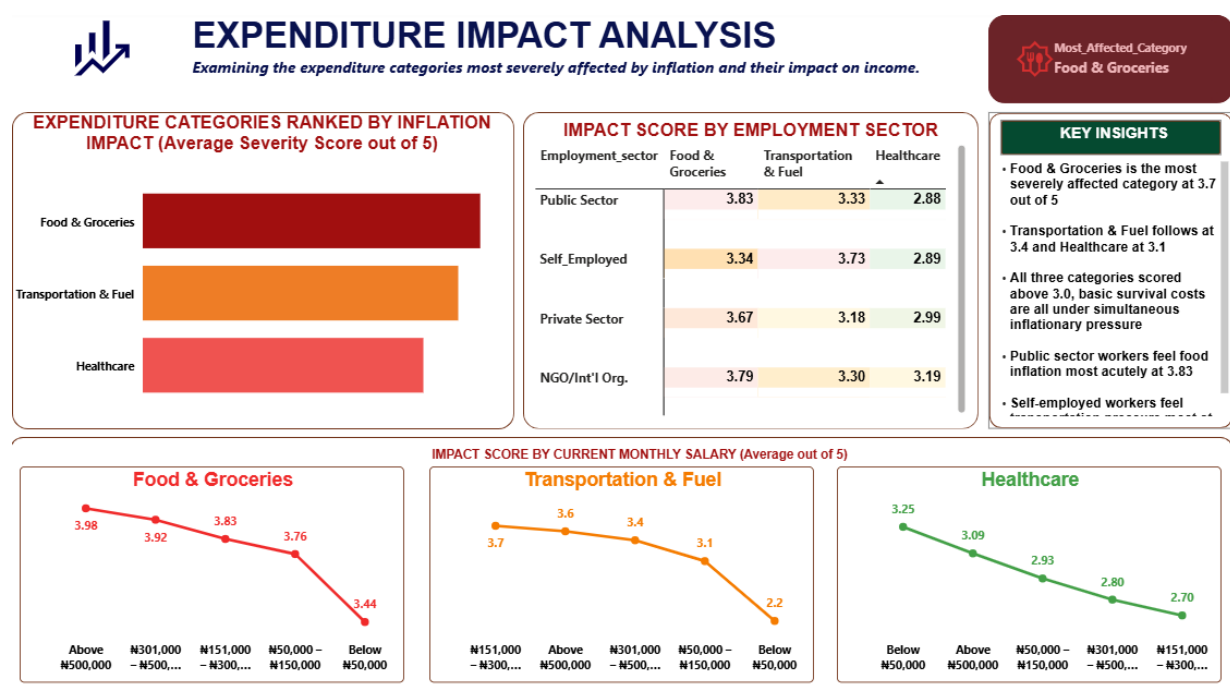
Ranked by Average Severity Score out of 5: Food and Groceries: 3.8, Transportation and Fuel: 3.4, and Healthcare and Medications: 3.1. All three categories scored above 3.0, confirming that respondents rate the inflation impact on all three essential expenditure areas as at least moderately to severely affecting their budgets. The dashboard confirms Food and Groceries as the single most affected category.

Impact Score by Employment Sector:

Public sector workers feel food inflation most acutely at 3.83, followed by NGO and International Organisation workers at 3.79, private sector at 3.67, and self-employed at 3.34. For transportation, self-employed workers score highest at 3.73, reflecting their dependence on personal transportation for business operations. For healthcare, NGO workers score highest at 3.19, while public sector workers score lowest at 2.88, possibly reflecting government health insurance access through the NHIS.

Impact Score by Income Group:

The line charts reveal a consistent downward trend, as income decreases, inflation impact scores increase across all three categories. For food, above ₦500,000 earners score 3.98, while ₦301,000 to ₦500,000 earners score 3.92, ₦151,000 to ₦300,000 earners score 3.83, ₦50,000 to ₦150,000 earners score 3.76, and below ₦50,000 earners score 3.44. Notably, even the lowest income earners score above 3.0, confirming that food inflation affects all salary earners, but the burden intensifies significantly as income falls. Transportation scores follow a similar declining pattern, with below ₦50,000 earners scoring 2.2, the lowest, suggesting the poorest earners may be reducing transportation entirely to cope. Healthcare scores show below ₦50,000 earners at 3.25, the highest, confirming that the poorest salary earners have the least ability to afford healthcare as prices rise.



FINDING 4 - Objective 3: Savings Behaviour and Debt Crisis

Savings Habit Distribution:

The savings behaviour donut chart reveals that 151 respondents (30.14%) save much less than they used to, the largest single group. 140 respondents (27.94%) have completely stopped saving. Together, 58.08% of respondents have either significantly reduced or completely eliminated their savings due to inflation. Meanwhile, 136 respondents (27.15%) report their savings have remained roughly the same, and only 74 respondents (14.77%) are saving more deliberately.

Debt Status Distribution:

The debt status donut chart reveals a critically alarming finding. 39.32%, the largest single group, have not borrowed but have completely depleted their savings to cope with inflation. 24.35% borrow occasionally, 16.17% borrow regularly every month, and only 20.16% have managed without borrowing or depleting savings. This means that 79.84% of respondents are either in debt or have depleted their savings, leaving only approximately 1 in 5 Nigerian salary earners surveyed genuinely financially stable.

Savings Behaviour by Income Group:

The stacked bar chart confirms a powerful income-based savings gradient. Among below ₦50,000 earners, 69.49% have completely stopped saving, the most catastrophic savings collapse of any income group. Among ₦50,000 to ₦150,000 earners, 44.44% have stopped saving completely. Among ₦151,000 to ₦300,000 earners, 37.68% save much less and 12.32% have stopped completely. Among ₦301,000 to ₦500,000 earners, 32.58% save much less and 18.18% stopped saving. In stark contrast, among above ₦500,000 earners, 45.65% save more deliberately and 23.91% maintain roughly the same savings, confirming that higher income earners are using inflationary pressure as motivation to build stronger savings habits.

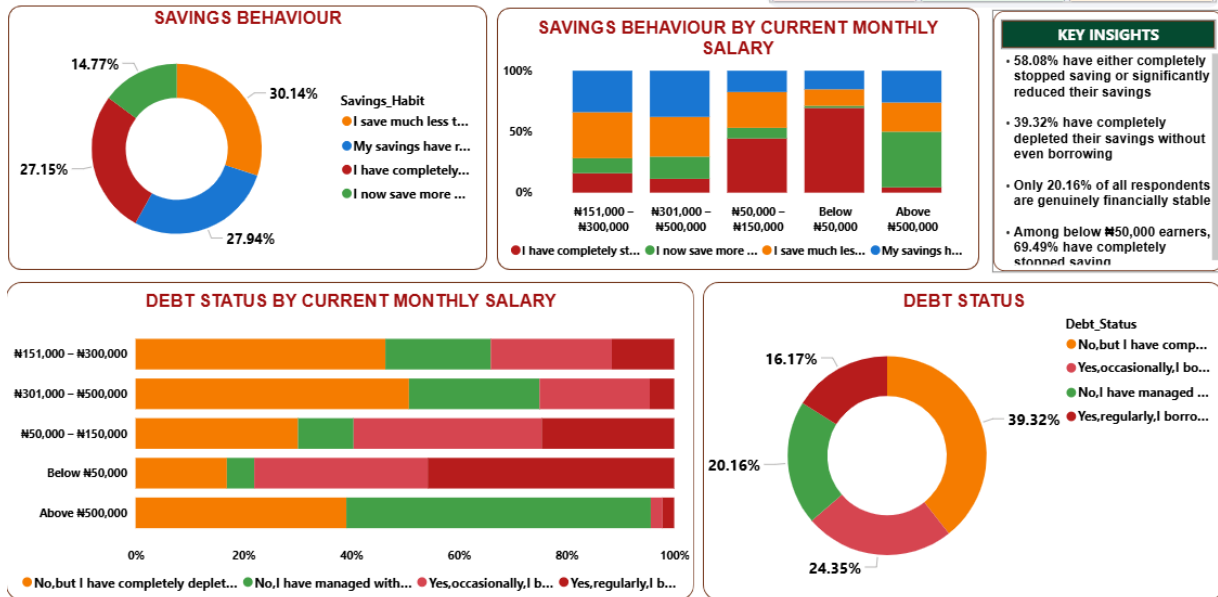
Debt Status by Income Group:

Among below ₦50,000 earners, 45.76% borrow regularly, the highest active borrowing rate of any income group. Among ₦50,000 to ₦150,000 earners, 34.92% borrow occasionally and 24.60% borrow regularly, showing this group is heavily debt-dependent. Middle income earners between ₦151,000 and ₦500,000 predominantly deplete savings at rates above 46%, meaning they have savings buffers but are burning through them rapidly. Only above ₦500,000 earners show the majority managing without debt or savings depletion at 56.52%.



SAVINGS BEHAVIOUR ANALYSIS

Evaluating the effect of inflation on savings capacity and long-term financial planning.



FINDING 5 - Objective 4: Demographic Differences in Inflation Impact

Gender Analysis:

The gender by salary adequacy chart reveals that the most affected gender is Male, as confirmed by the dashboard KPI card. Among male respondents, 88 report managing with difficulty, the largest single male response category, and 50 report struggling significantly, reflecting the intense financial pressure males face as primary household providers. Among female respondents, 86 report their salary covers about the same as before, the largest single female response category, and 59 report struggling significantly. Despite this difference, the proportion struggling is notable for both genders, 50 males and 59 females, confirming that inflation's impact crosses gender lines significantly. Both the public sector and private sector show the highest purchasing power impact at 2.7, while NGO and International Organisations show the lowest at 2.0.

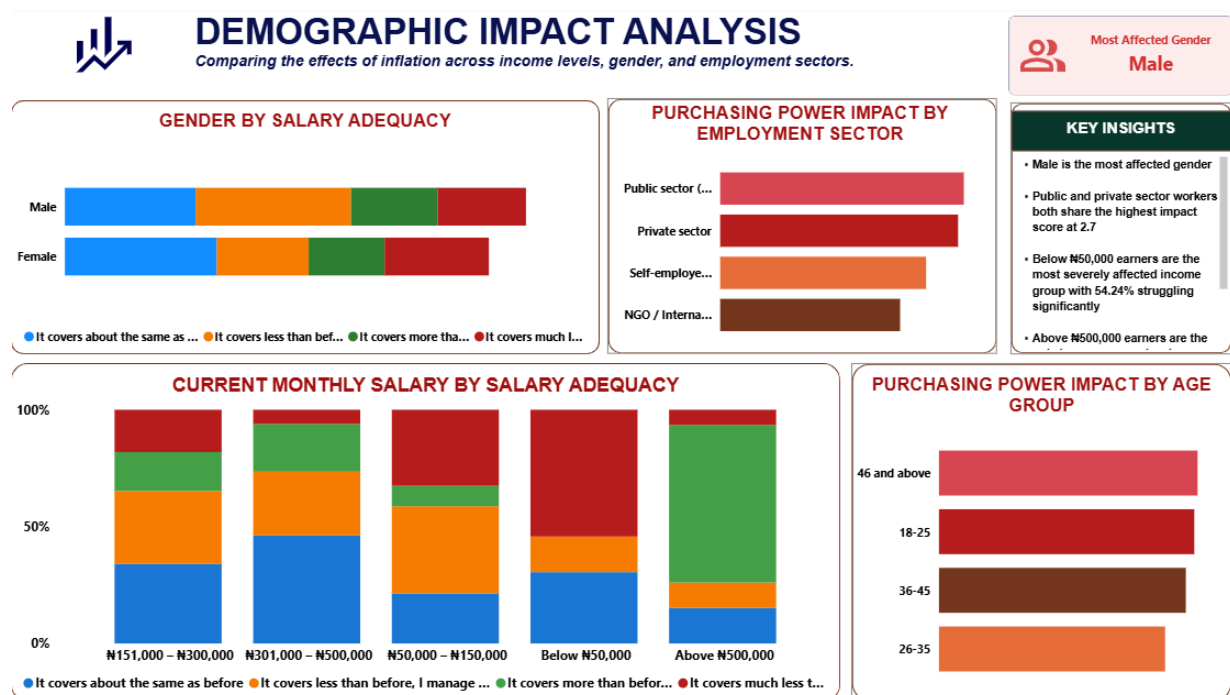
Purchasing Power Impact by Age Group:

Both the 46 and above and the 18 to 25 age groups share the highest average impact score of 2.7, revealing that older workers approaching retirement face the most severe threat to their financial security, while young entrants to the workforce are simultaneously most financially vulnerable despite their shorter working history. The 36 to 45 group scores 2.6, while the 26 to 35 group scores

the lowest at 2.4, possibly reflecting greater career mobility and income growth opportunities at this life stage.

Current Monthly Salary by Salary Adequacy:

The stacked column chart confirms the income threshold finding with exceptional clarity. Among the below ₦50,000 earners, 54.24% report their salary covers much less than before, and they struggle significantly, the most severe struggling proportion of any income group, while only 15.25% report their situation has improved. Among ₦50,000 to ₦150,000 earners, 32.54% struggle significantly, and 37.30% report managing with difficulty. Among ₦151,000 to ₦300,000 earners, 34.06% report their salary covers about the same and 31.16% report managing with difficulty, indicating this income level as a relative stability threshold. Among the above ₦500,000 earners, a striking 67.39% report their situation has improved, making this the only income group where financial improvement is the dominant experience despite inflation.



FINDING 6 - Objective 5: Coping Strategies Evaluation

Overall Coping Strategy Ranking:

The overall coping strategy bar chart reveals the following ranking across all 501 respondents:

Cutting back on non-essential spending - 23.35% (Most Used Overall), Taking on an additional job or side income - 20.16%, Joining a cooperative savings group - 19.36%, Borrowing money or taking loans - 14.57%, Reducing food quantity or quality - 12.57%, Drawing down on existing savings - 9.98%

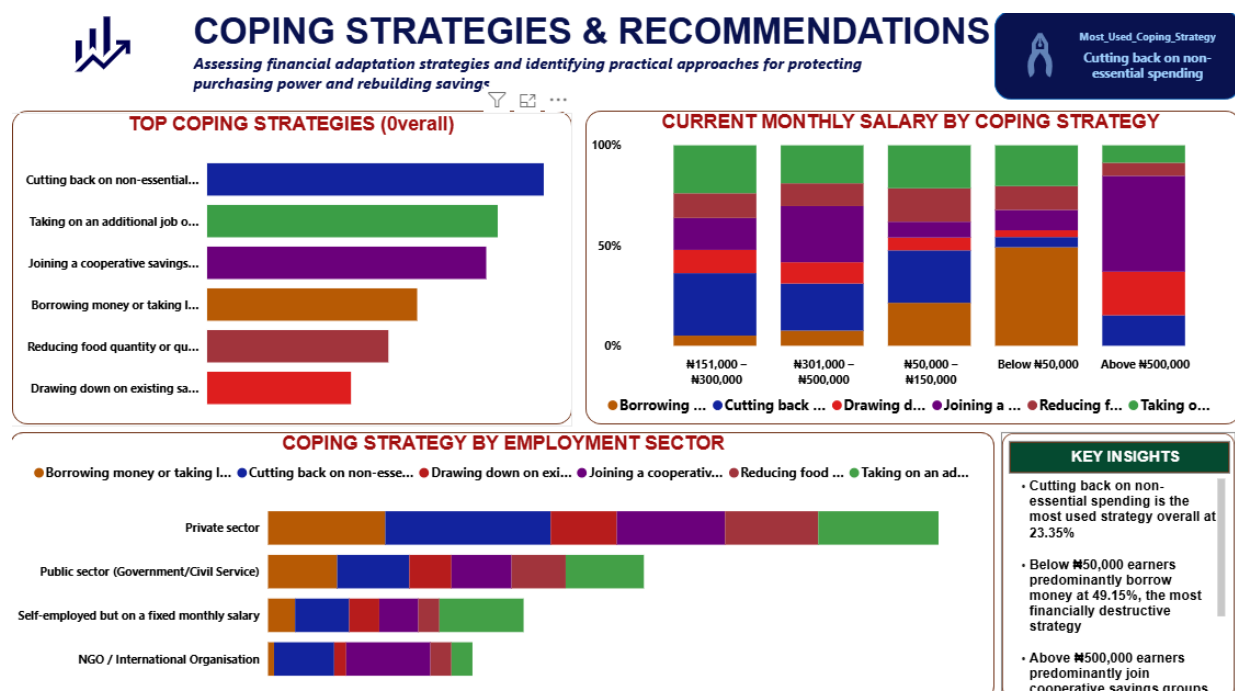
Coping Strategy by Income Group:

The stacked bar chart reveals a clear and powerful income-based coping strategy gradient. Among the below ₦50,000 earners, 49.15% are borrowing money, the most financially dangerous strategy, as their dominant approach, confirming that the most vulnerable salary earners are trapped in debt cycles. Among ₦50,000 to ₦150,000 earners, 26.19% borrow money, and 21.43% cut back, showing this group is split between dangerous and moderately sustainable strategies. Among ₦151,000 to ₦300,000 earners, 31.16% cut back on non-essentials as the dominant strategy, a less damaging but still financially limiting approach. Among ₦301,000 to ₦500,000 earners, 28.03% join cooperative savings groups, marking the shift to genuinely sustainable strategies. Among the above ₦500,000 earners, 47.83% join cooperative savings groups, the overwhelmingly dominant strategy, confirming cooperative savings as the most effective and widely adopted financial resilience tool among Nigeria's most financially stable salary earners.

Coping Strategy by Employment Sector:

Private sector workers predominantly cut back on non-essentials at 55 respondents, while also taking on additional jobs at 40 and borrowing at 39, suggesting a mixed but moderately resilient approach. Public sector workers predominantly take on additional jobs at 26 respondents and cut back at 24, reflecting a proactive income-expansion approach consistent with the civil service culture. Self-employed workers predominantly take on additional jobs at 28 respondents, confirming their reliance on income expansion as a primary coping mechanism since they are already self-employed. NGO and International Organisation workers overwhelmingly join cooperative savings groups at 28 respondents, the highest cooperative savings adoption of any employment sector, followed by

borrowing at 20, confirming that NGO workers prioritise collective financial resilience while also managing some degree of informal borrowing.



4.2 Recommendation

Federal Government: Annual Minimum Wage Review Tied to CPI

The finding that 49.7% of Nigerian salary earners report significant purchasing power decline directly reflects the failure of current wage levels to keep pace with inflation. The federal government must establish a formal mechanism to automatically review the national minimum wage annually in line with the Consumer Price Index, similar to systems in the United Kingdom and South Africa. This would ensure that salary earners do not silently lose purchasing power between formal wage negotiations. Immediate prioritisation should focus on civil servants and formal workers earning below ₦150,000 monthly, as this study identifies this income bracket as the most severely affected group, with 54.24% of below ₦50,000 earners struggling significantly.

Government: Targeted Food Price Stabilisation Measures

Food and Groceries scored the highest average inflation impact severity of 3.8 out of 5, and reached as high as 3.98 among the highest income earners who still feel the pressure, demanding urgent and targeted government intervention in the food supply chain. The government should establish

subsidised food distribution programmes targeting basic staples, rice, beans, garri, cooking oil, and tomatoes, through existing National Social Investment Programme channels, prioritising households earning below ₦150,000 monthly. Investment in food storage infrastructure across all six geopolitical zones would reduce post-harvest losses and stabilise prices year-round. Repair of rural feeder roads connecting farming communities to urban markets would directly reduce transportation costs currently being passed on to consumers.

Employers: Cost of Living Allowances

The finding that 70.86% of respondents spend more than 70% of their monthly salary on essential needs alone calls for immediate employer-level intervention. Private sector employers and government institutions should introduce Cost of Living Allowances specifically designed to bridge the gap between current salary levels and actual living costs. Subsidised meal programmes, transportation allowances, and medical allowances would directly address the three expenditure categories confirmed as most severely impacted: food, transportation, and healthcare. These measures are economically rational; financially stressed employees are demonstrably less productive, more likely to be absent, and more likely to leave their positions in search of better compensation.

Financial Institutions: Emergency Savings and Credit Products

The finding that 57.28% of salary earners have either stopped saving or significantly reduced their savings, combined with 79.84% either in debt or having depleted their savings, reveals a critical gap in Nigeria's financial services market. Financial institutions should develop salary-linked micro-savings accounts with zero minimum balance requirements and no monthly fees, allowing salary earners to save as little as ₦1,000 per month automatically. Emergency credit facilities with low interest rates specifically for salary earners facing sudden cost-of-living shocks should be made widely available as an alternative to expensive informal borrowing. Inflation-linked savings products offering returns that track or exceed Nigeria's inflation rate would protect the real value of savings over time.

Salary Earners: Prioritise Income Diversification

The finding that 49.15% of below ₦50,000 earners rely predominantly on borrowing highlights the urgent need for a strategy shift toward income growth. Salary earners at all income levels should prioritise developing a secondary income source alongside their primary salary, through freelancing, small trading, digital skills work, or community-based services. The fact that taking on an additional job is the second most commonly used strategy overall at 20.16%, and the dominant strategy among both self-employed and public sector workers, confirms that income diversification is both feasible and increasingly adopted as a sustainable response to inflationary pressures.

All Salary Earners: Embrace Cooperative Savings Groups

The finding that cooperative savings group membership is the dominant strategy among above ₦500,000 earners at 47.83% and is heavily favoured by NGO workers at 28 respondents, combined with its ranking as the third most used strategy overall at 19.36%, provides compelling evidence that Ajo and Esusu cooperative savings groups are among the most effective financial resilience tools available to Nigerian salary earners. Lower-income earners who are currently relying predominantly on borrowing should actively join or form workplace or community-based cooperative savings groups. Employers should facilitate this by creating formal workplace savings cooperatives, allowing members to make regular contributions directly from their salary and access emergency loans at low or zero interest rates from the collective pool.

Government: Expand Social Protection Programmes

The finding that 39.32% of respondents, the largest single debt status group, have completely depleted their savings without even resorting to borrowing, means a large proportion of Nigerian salary earners have exhausted all their financial reserves and are now one financial shock away from crisis with no cushion remaining. The government's existing social protection programmes, including the Conditional Cash Transfer scheme and the National Social Investment Programme, must be significantly expanded to reach not just the unemployed poor but also the working poor, salary earners whose income has been so severely reduced by inflation that they are functionally impoverished despite being employed.

Employers and Government: Workplace Financial Literacy Programmes

The finding that borrowing and food reduction remain dominant among the lowest income earners, while more effective strategies like cooperative savings and income diversification remain underutilised in this group, confirms a significant financial literacy and access gap. Employers, financial institutions, and government agencies should collaborate to deliver regular, practical, and accessible financial literacy programmes in workplaces that cover budgeting, debt management, cooperative savings, and income diversification. These programmes must be specifically tailored to the financial realities of low-income salary earners in Nigeria, rather than generic financial advice designed for those with comfortable disposable income levels.

4.3 Conclusion

This study analysed the effect of inflation on the purchasing power and savings behaviour of salary earners in Nigeria, using primary data collected from **501 respondents** across different income levels, employment sectors, age groups, and genders. The findings comprehensively address all five research objectives and present a clear, data-driven picture of a financial crisis that is real, widespread, and actively worsening for Nigeria's working population.

The study confirms that inflation has significantly eroded the purchasing power of Nigerian salary earners, with 49.7% reporting a measurable decline, and a striking 70.86% spending more than 70% of their entire monthly salary on essential needs alone, leaving virtually nothing for savings, investment, or financial planning. Food and Groceries emerged as the single most devastating expenditure category at an average severity score of 3.8 out of 5, confirming that the most fundamental human need, eating, has become one of the most severe financial burdens for Nigeria's working population.

The savings and debt crisis revealed by this study demands urgent attention. **58.08%** of respondents have either completely stopped saving or significantly reduced their savings. A further **39.32%**, the largest single group in the debt status analysis, have completely depleted their savings without even resorting to borrowing, while only **20.16%** of all respondents are genuinely financially stable. These

findings reveal that the inflation crisis has not only reduced what salary earners can spend today, but has systematically dismantled the financial foundations they built for tomorrow.

The burden of inflation is not borne equally. Salary earners below ₦50,000 monthly face a fundamentally more devastating financial reality, **54.24%** of this group are struggling significantly, **69.49%** have completely stopped saving, and **45.76%** borrow regularly to meet basic monthly expenses. In contrast, **67.39%** of above ₦500,000 earners report financial improvement, demonstrating that higher income earners possess both the financial resources and the strategic tools, particularly cooperative savings and income diversification, to navigate inflationary periods far more effectively.

The coping strategy gradient identified in this study is perhaps its most actionable finding. Lower-income salary earners are not just earning less; they are also coping less effectively, creating a compounding financial disadvantage that inflation is actively worsening. While borrowing money dominates among below ₦50,000 earners at **49.15%**, a strategy that creates debt cycles rather than solving underlying problems, cooperative savings dominates among above ₦500,000 earners at **47.83%**, a wealth-building strategy that strengthens financial resilience over time. This gradient confirms that interventions must focus not only on income support but on actively connecting lower-income earners to the more effective financial strategies already being successfully used by higher-income groups.

This study contributes original, primary data-driven evidence to the body of knowledge on inflation and household welfare in Nigeria, and delivers a practical, prioritised, and stakeholder-specific roadmap for action grounded in the real lived financial experiences of **501 Nigerian salary earners**. This researcher hopes that the findings and recommendations presented here will inform government wage policy decisions, guide employer practices, shape financial product development by banks and microfinance institutions, and empower individual salary earners across Nigeria to make better financial decisions in the face of ongoing and deepening inflationary pressure.

4.4 Limitations of the Study

While this study has produced significant and valuable findings, the following limitations must be acknowledged:

Convenience Sampling: The study used convenience sampling, distributing the questionnaire through WhatsApp, LinkedIn, and social media, which means respondents were limited to those reachable through digital platforms. This may have excluded salary earners in remote or rural areas with limited internet access, potentially introducing a selection bias toward more urban and digitally connected respondents.

Self-Reported Data: All data in this study are self-reported by respondents through an online questionnaire. There is a possibility that some respondents may not have accurately disclosed their true income levels, savings habits, or debt situations due to social desirability bias, the tendency to present oneself more favourably than reality. This may mean that the true extent of the savings crisis and debt burden among Nigerian salary earners is even more severe than the findings of this study suggest.

Cross-Sectional Design: This study collected data at a single point in time rather than tracking the same respondents over multiple periods. As a result, it captures a snapshot of the inflation impact rather than a longitudinal picture of how the situation has changed over time for specific individuals. A longitudinal study tracking the same salary earners over two to three years would provide even stronger evidence of the causal relationship between inflation and purchasing power decline.

Geographic Coverage: Although the study targeted Nigerian salary earners nationally, the digital distribution method means that certain geopolitical zones, particularly the North-East and North-West, where internet penetration is lower, may be underrepresented in the sample. This limits the generalisability of findings to all regions of Nigeria equally.

Exclusion of Informal Salary Earners: The screening question requiring a minimum of three years of salary-earning experience, while methodologically sound, excluded newer entrants to the workforce, including recent graduates and those who recently transitioned from informal to formal

employment. These groups may have different and equally important experiences of inflation's impact on their early-career financial development.

No Secondary Data Validation: This study relied exclusively on primary data from respondents without cross-validating findings against secondary macroeconomic data from the NBS or CBN. Combining primary respondent data with published inflation and wage statistics would have provided a stronger and more comprehensive evidence base for the findings.

4.5 Suggestions for Future Research

Based on the findings and limitations of this study, the following areas are recommended for future research:

1. A longitudinal study tracking the same cohort of Nigerian salary earners over three to five years to measure how purchasing power and savings behaviour change as inflation fluctuates over time.
2. A comparative study examining the differential impact of inflation on salary earners across Nigeria's six geopolitical zones, using stratified random sampling to ensure equal representation of all regions.
3. A qualitative study using in-depth interviews with salary earners in the below ₦50,000 income bracket to gain deeper insight into the lived experience of financial distress caused by inflation, going beyond what questionnaire data can capture.
4. A study specifically examining the impact of inflation on the retirement savings and long-term financial planning of Nigerian salary earners, as this study found significant savings collapse, but did not specifically measure retirement preparedness.
5. An evaluation study measuring the actual effectiveness of cooperative savings groups as a financial resilience tool for low-income salary earners in Nigeria, to provide stronger evidence for the recommendation that cooperative savings should be more widely adopted.

4.6 Contribution to Knowledge

This study makes the following original contributions to existing knowledge on inflation and household welfare in Nigeria:

1. It provides the first primary data-driven evidence specifically measuring the income threshold at which Nigerian salary earners experience the most severe purchasing power decline, identified in this study as the below ₦150,000 monthly income bracket.
2. It identifies Food and Groceries as the single most severely affected expenditure category for Nigerian salary earners, with an average severity score of 3.68 out of 5, providing policymakers with a precise and data-backed intervention target.
3. It reveals the existence of a widespread but largely invisible savings crisis among Nigerian salary earners, with 56.6% having either stopped saving or significantly reduced savings, which is not captured in national macroeconomic statistics.
4. It produces an income-based coping strategy map showing that different income groups use fundamentally different and unequally effective strategies to manage inflation, a finding with direct implications for financial literacy programme design and social protection policy targeting.
5. It demonstrates that the impact of inflation on Nigerian salary earners is not uniform but is significantly differentiated by income level, employment sector, and gender, providing the evidence base for targeted rather than generalised policy responses.

4.8 Summary

This study investigates the effect of inflation on the purchasing power and savings behaviour of salary earners in Nigeria. Primary data was collected from 501 respondents across different income levels, employment sectors, age groups, and genders through a structured questionnaire administered via Google Forms. Data was analysed using Microsoft Excel, Power BI, and SQL.

The study reveals that 49.7% of Nigerian salary earners surveyed report a significant decline in their purchasing power, meaning nearly half of all respondents can no longer afford what their salary comfortably covered two to three years ago. Food and Groceries emerged as the most severely impacted expenditure category with an average severity score of 3.8 out of 5, followed by Transportation and Fuel at 3.4 and Healthcare at 3.1. All three categories scored above 3.0, confirming that the most fundamental survival costs, eating, commuting, and staying healthy, are all under severe and simultaneous inflationary pressure.

The savings and debt crisis is deeply alarming. 58.08% of respondents have either completely stopped saving or significantly reduced their savings, while 40.5% are currently in debt. The debt status analysis reveals that 39.32%, the largest single group, have not borrowed but have completely depleted their savings to cope with inflation, while only 20.16% of respondents are genuinely financially stable. A further 31.9% of all respondents are spending more than 70% of their monthly salary on essential needs alone, leaving virtually nothing for savings or emergencies.

Income group analysis reveals a striking financial threshold; respondents earning below ₦50,000 show 54.24% struggling significantly, while respondents earning above ₦500,000 show 67.39% reporting financial improvement. Coping strategy analysis confirms a clear income-based gradient; the poorest salary earners predominantly borrow money at 49.15%, while the highest earners predominantly join cooperative savings groups at 47.83%. Overall, cutting back on non-essential spending is the most widely used strategy at 23.35%, confirming that the majority of Nigerian salary earners are managing inflation through reduction rather than resilience building.

Based on these findings, the study recommends urgent government wage review policies tied to the Consumer Price Index, targeted food price stabilisation measures, employer-level cost of living allowances, expanded access to cooperative savings groups, particularly for lower-income earners, and the delivery of financial literacy programmes in Nigerian workplaces

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APPENDIX

RESEARCH QUESTIONNAIRE

Title: *Analysis of Inflation on the Purchasing Power and Savings Capacity of Nigerian Salary Earners*

Dear Respondent,

I am a researcher conducting a study on the impact of inflation on the purchasing power and savings capacity of Nigerian salary earners. The information provided will be used strictly for academic purposes and treated with the utmost confidentiality. Kindly answer the questions honestly by ticking (✓) the option that best represents your situation.

Thank you for your participation.

SECTION A: DEMOGRAPHIC INFORMATION

Please tick (✓) one option only.

1. Gender

☐ Male

☐ Female

2. Age Group

☐ 18–25 years

☐ 26–35 years

☐ 36–45 years

☐ 46 years and above

3. Employment Sector

☐ Public Sector (Government/Civil Service)

☐ Private Sector

- ☐ NGO/International Organisation
- ☐ Self-employed but on a fixed monthly salary

4. Current Monthly Take-Home Salary (After Tax)

- ☐ Below ₦50,000
- ☐ ₦50,000- ₦150,000
- ☐ ₦151,000- ₦300,000
- ☐ ₦301,000- ₦500,000
- ☐ Above ₦500,000

SECTION B: PURCHASING POWER AND INFLATION IMPACT

Please tick (✓) the option that best describes your current situation.

5. Compared to 2–3 years ago, how has your salary's ability to cover your basic needs changed?

- ☐ It covers much less than before; I struggle significantly.
- ☐ It covers less than before; I manage but with difficulty.
- ☐ It covers about the same as before.
- ☐ It covers more than before; my situation has improved.

6. Approximately what percentage of your monthly salary do you currently spend on essential needs alone (food, rent, transportation, utilities)?

- ☐ More than 90%
- ☐ 71% – 90%
- ☐ 51% – 70%
- ☐ 50% or less

7. Has inflation forced you to take on debt or borrow money to cover your monthly basic expenses?

- ☐ Yes, regularly; I borrow almost every month.
- ☐ Yes, occasionally; I borrow when things become too difficult.
- ☐ No, but I have completely depleted my savings to cope.
- ☐ No, I have managed without borrowing or depleting my savings.

SECTION C: EXPENDITURE CATEGORIES MOST AFFECTED BY INFLATION

Please indicate the extent to which inflation has increased your spending pressure in each category compared to 2–3 years ago.

Scale:

1 = Not Affected, 2 = Slightly Affected, 3 = Moderately Affected, 4 = Severely Affected and 5 = Extremely Affected

Expenditure Category	1	2	3	4	5
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8. Food and Groceries	☐	☐	☐	☐	☐
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10. Transportation and Fuel	☐	☐	☐	☐	☐
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12. Healthcare and Medications	☐	☐	☐	☐	☐
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SECTION D: SAVINGS BEHAVIOUR AND FINANCIAL COPING STRATEGIES

Please tick (✓) one option only.

13. How has your savings habit changed over the past 2–3 years due to inflation?

- ☐ I have completely stopped saving; there is nothing left to save.
- ☐ I save much less than I used to.
- ☐ My savings have remained roughly the same.
- ☐ I now save more deliberately to protect myself financially.

14. Which of the following coping strategies have you adopted most frequently to deal with the rising cost of living?

- ☐ Cutting back on non-essential spending
- ☐ Taking on an additional job or side income
- ☐ Borrowing money or taking loans
- ☐ Joining a cooperative savings group (Ajo/Esusu)
- ☐ Reducing food quantity or quality
- ☐ Drawing down on existing savings or investment.

SECTION E: OPEN-ENDED QUESTION

15. In your opinion, what is the single most effective action by the government, employers, or individuals that would realistically protect the purchasing power and savings of Nigerian salary earners against inflation?
